

BE

BE N/A

Hold \$264.30 ▲ 3.94% 12M Price Target \$285.00 52-Week Range \$24.04 – \$351.28

Market Cap \$75.18B

BE: Short Attack Rebuffed, But Volatility Signals Caution

WHAT HAPPENED

- Stock bounced +3.9% today after a brutal -5.7% drop yesterday — a short seller published a report questioning Bloom's supply chain, BE fired back with a rebuttal, and the market largely sided with BE. But look at the range: \$295 on Monday to \$254 yesterday to \$264 today. That's a 14% swing in 4 days on essentially no fundamental news — this thing is trading on sentiment, not earnings.
- Morgan Stanley published a bullish note saying AI data center demand will cause a "clean tech order inflection" — that's the real fuel here. Bloom sells on-site fuel cell power to data centers that literally cannot get connected to the grid fast enough.

WHY IT MATTERS

Nothing major happened overnight — the thesis is intact. Keep an eye on price action and how the sector is moving for a potential entry point.

POLICY & POLITICAL WATCH

The Trump administration's push to accelerate data center buildout for AI dominance is a direct tailwind — the July 2025 AI Action Plan explicitly called for streamlining power infrastructure for AI, and fuel cells qualify as "dispatchable" baseload power that the administration favors over intermittent renewables. The wildcard is the Inflection Reduction Act's Section 48 investment tax credit for fuel cells — the "One Big Beautiful Bill" preserved most fuel cell credits through 2028, which is a huge deal because it makes Bloom's economics work for customers. Watch for any tariff escalation on Korean components (Bloom's JV with SK ecoplant sources parts from Korea) — that's the specific supply chain vulnerability the short report tried to exploit.

IS IT EXPENSIVE?

At \$75B market cap on maybe \$2.1B in 2026 revenue, investors are paying about \$36 for every \$1 of sales — that's extraordinarily rich for a company that just barely turned profitable. For comparison, mature industrials trade at 2-4x sales. The only way this valuation makes sense is if you believe revenue doubles again by 2028 as hyperscaler orders convert — which is plausible but requires everything to go right.

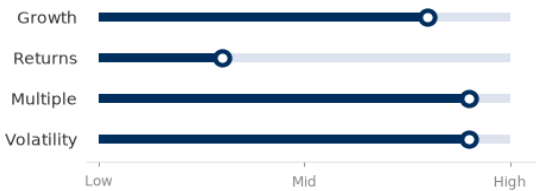
WHAT COULD GO WRONG

- The short seller's supply chain claims — even if 20% true, it could mean margin compression or delivery delays right when hyperscalers are counting on Bloom to deliver.

Key Data

Price (USD)	\$264.30
12M Price Target	\$285.00
Upside / (Downside)	+7.8%
Market Cap	\$75.18B
FY2026E Revenue	\$2,100M
FY2027E Revenue	\$2,750M
FY2026E EPS	\$0.15
FY2027E EPS	\$0.45
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$310.00	\$275.00	\$230.00
6 Months	\$360.00	\$295.00	\$210.00
1 Year	\$420.00	\$310.00	\$180.00
2 Years	\$550.00	\$380.00	\$150.00
5 Years	\$800.00	\$500.00	\$100.00
10 Years	\$1200.00	\$650.00	\$80.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Tech (+2.45%) leading again as AI trade reasserts itself — the read-through to BE is direct because AI = power demand = fuel cells. Anything tied to data center power infrastructure is a winner right now.

COOLING OFF: Consumer Discretionary (-2% over 5 days) and Materials (-1.3%) are signaling investors are getting defensive on the consumer while chasing AI-adjacent themes.

ROTATION WATCH: Money is flowing out of cyclicals and into AI infrastructure — power, cooling, networking. BE sits right in that sweet spot as a "picks and shovels" play on AI.

RELATED PLAY: If you like the AI power thesis but want lower volatility, look at the utilities directly exposed to data center load growth (VST, CEG) or natural gas midstream names (WMB, KMI) — they benefit from the same trend without the 14% weekly swings.

WHO'S WINNING IN THIS SPACE?

- VST (Vistra): Independent power producer that's become the poster child for AI power demand — nuclear + gas fleet directly serving hyperscalers.
- CEG (Constellation Energy): Signed the Microsoft Three Mile Island deal — the template for what BE is trying to do at smaller scale with faster deployment.

BE CONTEXT: Bloom is in the same thematic bucket but is the highest-beta, highest-risk name in the group. It's leading on the way up and leading on the way down — that tells you it's the "call option" of the AI power trade. If you already own VST or CEG, BE is your aggressive add. If you don't own any, start with the utilities first.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — the thesis is real but the valuation and volatility mean I'm not pounding the table at \$264.

POSITION SIZE: 2-3% max — this stock can drop 20% in a week on a headline, so size it like the high-risk position it is.

ENTRY POINTS: I'd wait for pullbacks to \$240-255 range, which is where it's found support recently. Chasing at \$264 after a 4% pop is bad discipline.

TIME HORIZON: 12-24 months — the catalyst is the conversion of announced hyperscaler partnerships (AEP, Oracle, Equinix) into recurring revenue. Watch Q3 earnings.

WHEN TO BAIL: If revenue guidance gets cut, if a major customer walks, or if the short seller produces receipts on the supply chain allegations — any of those and I'm out immediately.

HEDGING: Simplest hedge — buy protective puts at the \$230 strike (essentially insurance that pays off if the stock crashes). Or just size the position small enough that a 40% drawdown doesn't ruin your week.